



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

*57th Legislature, 2nd Regular Session
Majority Research Staff*

HB 2755: state land use; highest; best

KOLODIN FLOOR AMENDMENT

1. Modifies the specification for how a market-based indexing mechanism for royalty rates is to be adopted, from by rule to by the department.

ADDITIONAL COW
KOLODIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2755
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 27, chapter 2, article 3, Arizona Revised
3 Statutes, is amended by adding section 27-240, to read:

4 27-240. Lease of state lands; minerals; renewal; auction
5 exemption; indexed royalties

6 A. NOTWITHSTANDING ANY OTHER LAW, THE COMMISSIONER MAY RENEW AN
7 EXISTING MINERAL OR MINERAL MATERIALS LEASE WITHOUT PUBLIC AUCTION IF THE
8 COMMISSIONER DETERMINES THAT:

9 1. THE LESSEE IS IN SUBSTANTIAL COMPLIANCE WITH THE TERMS OF THE
10 LEASE.

11 2. RENEWAL IS IN THE BEST INTEREST OF THE TRUST.

12 3. RENEWAL IS SUPPORTED BY WRITTEN FIDUCIARY FINDINGS.

13 4. THE RENEWAL TERM IS FOR NOT MORE THAN TWENTY YEARS.

14 B. A LEASE RENEWED PURSUANT TO THIS SECTION SHALL PROVIDE FOR A
15 ROYALTY RATE THAT IS ADJUSTED USING A MARKET-BASED INDEXING MECHANISM
16 ADOPTED BY ~~[RULE]~~ [THE DEPARTMENT].

17 C. THE INDEXING MECHANISM MAY INCLUDE PRODUCER PRICE INDICES,
18 REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES OR OTHER
19 OBJECTIVE, INDUSTRY-RECOGNIZED MARKET INDICATORS.

20 D. THE COMMISSIONER SHALL REVIEW INDEXED ROYALTY RATES AT INTERVALS
21 OF NOT MORE THAN FIVE YEARS.

22 Sec. 2. Section 37-102, Arizona Revised Statutes, is amended to
23 read:

24 37-102. State land department; powers and duties

25 A. The state land department shall administer all laws relating to
26 lands owned by, belonging to and under the control of this state.

1 B. The department shall have charge and control of all lands owned
2 by this state, and timber, stone, gravel and other products of such lands,
3 except lands under the specific use and control of state institutions and
4 the products of such lands.

5 C. The department, in the name of this state, may commence,
6 prosecute and defend all actions and proceedings to protect the interest
7 of this state in lands within this state or the proceeds of lands within
8 this state. Actions shall be commenced and prosecuted at the request of
9 the department by the attorney general, a county attorney or a special
10 counsel under the direction of the attorney general.

11 D. The department shall be the official representative of this
12 state in any communication between this state and the United States
13 government in all matters respecting state lands or any interest of this
14 state in or to the public lands within this state.

15 E. The summons in any action against this state respecting any
16 lands of this state or the products of such lands and all notices
17 concerning such lands or products shall be served on the commissioner.
18 Summonses, warrants or legal notices served on behalf of the department
19 may be served by the commissioner or the commissioner's deputy, or by the
20 sheriff or a constable of any county of this state.

21 F. The department shall maintain as a public record in each of the
22 department's offices a public docket and index of all matters before the
23 department that may be subject to appeal to the board of appeals or to the
24 courts and all sale, exchange and lease transactions subject to bidding by
25 the public. The department shall list a matter on the public docket
26 immediately after an application or other request for department action is
27 received by the department. The department shall include in the public
28 docket every formal action and decision affecting each matter in
29 question. The department shall establish by rule a means by which any
30 person may obtain a copy of the public docket at the current copying cost.

31 G. The department shall reappraise or update the department's
32 original appraisal of property to be leased, exchanged or sold if the
33 board of appeals' approval of the lease or sale occurred more than two
34 hundred forty days before the auction.

35 H. To the extent possible, the state land department shall:

36 1. Prepare maps of the ancillary military facilities described in
37 section 28-8461, paragraph 7, subdivisions (b) and (c).

38 2. Make a map of the ancillary military facility described in
39 section 28-8461, paragraph 7, subdivision (a) available to the public in
40 printed or electronic format and provide the map in printed or electronic
41 format to the state real estate department.

42 3. On receipt of proper information from the military installation
43 commander with responsibility for the military electronics range, prepare
44 a map of the military electronics range as defined in section 9-500.28 and
45 make that map available to the public in printed or electronic format and
46 provide the map in printed or electronic format to the state real estate
47 department. Within ninety days after receipt of notice of any change in

1 the boundaries of the military electronics range from the military
2 installation commander, the state land department shall revise its map and
3 provide the map to the public and to the state real estate department.

4 4. On or before December 31, 2024 and on receipt of proper
5 information from the applicable military installation's and range's and
6 Arizona national guard site's commanders, prepare electronic legal
7 descriptions and maps of the military installation and range and Arizona
8 national guard site and their respective influence areas as defined in
9 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
10 maps to the state real estate department and the public. The state land
11 department shall make changes to the boundaries of the military
12 installation and range and national guard site and their respective
13 influence areas and provide them to the state real estate department and
14 the public within ninety days after receipt of those changes from the
15 military installation's and range's and Arizona national guard site's
16 commanders.

17 5. RESTRICT THE USE OF A HOLDOVER LEASE TO NOT MORE THAN NINETY
18 DAYS. A HOLDOVER TENANT WHOSE LEASE IS TERMINATED BY THE DEPARTMENT SHALL
19 RECEIVE IMMEDIATE REIMBURSEMENT FOR THE FAIR MARKET VALUE OF ANY
20 REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE TO THE
21 STATE LAND.

22 6. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:

23 (a) APPROVE ANY IMPROVEMENTS THAT ARE REASONABLE AND CUSTOMARY IN
24 THE LESSEE'S OR PERMITTEE'S COURSE OF BUSINESS. ON CONCLUSION OF THE
25 LEASE OR SPECIAL LAND USE PERMIT, THE DEPARTMENT SHALL REIMBURSE THE
26 LESSEE OR PERMITTEE FOR THE IMPROVEMENTS WITH MONIES FROM THE STATE LAND
27 TRUST.

28 (b) PROVIDE AMPLE NOTICE TO A LESSEE OR PERMITTEE BEFORE THE
29 TERMINATION OF THE LEASE OR SPECIAL LAND USE PERMIT.

30 I. The state land department shall provide each map and the legal
31 description of the boundaries of each ancillary military facility
32 described in section 28-8461, paragraph 7 in electronic format to the
33 state real estate department. Each map prepared by the state land
34 department pursuant to this section shall:

35 1. Describe the ancillary military facility, the territory in the
36 vicinity of the ancillary military facility and the high noise and
37 accident potential zone, accident potential zone one and accident
38 potential zone two associated with the ancillary military facility.

39 2. Be submitted to the county in which the ancillary military
40 facility is located.

41 3. Be made available to the public.

42 J. The state land department shall prepare a military training
43 route map. The map shall contain military training route numbers in this
44 state that are used by various United States armed forces. The map shall
45 be dated.

46 K. When preparing the military training route map, the state land
47 department shall use information contained in the most current department

1 of defense publication that is entitled "area planning military training
2 routes for North and South America".

3 L. The military training route map shall be made available to the
4 public.

5 M. Within ninety days after the department is notified of a change
6 of a military training route in this state, the department shall prepare a
7 revised military training route map. The map shall be dated and contain a
8 statement that the map supersedes all previously dated maps. The state
9 land department shall send the revised map to the state real estate
10 department electronically and shall also send an accompanying letter
11 specifying the military training route changes. The state land department
12 shall send the revised map and an accompanying letter specifying the
13 military training route changes to the municipalities affected by the
14 changes and to all counties.

15 N. The department shall submit the military training route map
16 prepared pursuant to this section to the counties in either an electronic
17 or a printed format. The format shall be determined by the receiving
18 county.

19 O. The state land department shall provide the legal description of
20 the boundaries of the military training routes as delineated in the
21 military training route map to the state real estate department in
22 electronic format.

23 P. The state land department shall prepare a military restricted
24 airspace map. The map shall contain military restricted airspace in this
25 state that is used by various United States armed forces. The map shall
26 be dated.

27 Q. When preparing the military restricted airspace map, the state
28 land department shall use information contained in the most current
29 department of transportation publication that is entitled "aeronautical
30 chart".

31 R. The military restricted airspace map shall be made available in
32 printed or electronic format to the public at the state land department
33 and at the state real estate department.

34 S. Within ninety days after the department is notified of a change
35 of military restricted airspace in this state, the department shall
36 prepare a revised military restricted airspace map. The map shall be
37 dated and contain a statement that the map supersedes all previously dated
38 maps. The state land department shall send the revised map to the state
39 real estate department electronically and shall also send an accompanying
40 letter specifying the military restricted airspace changes. The state
41 land department shall send the revised map and an accompanying letter
42 specifying the military restricted airspace changes to the municipalities
43 affected by the changes and to all counties.

44 T. The department shall submit the military restricted airspace map
45 prepared pursuant to this section to the counties in either an electronic
46 or a printed format. The format shall be determined by the receiving
47 county.

1 U. The state land department shall provide the legal description of
2 the boundaries of the military restricted airspace as delineated in the
3 military restricted airspace map to the state real estate department in
4 electronic format.

5 V. The department may accept title to and manage real estate,
6 property rights and related infrastructure acquired pursuant to section
7 26-262, subsection K for preserving or enhancing military installations in
8 this state.

9 Sec. 3. Legislative findings

10 The legislature finds that:

11 1. Minerals and common variety minerals exist where they are.

12 2. Minerals and common variety minerals are needed for all forms of
13 commercial development on state trust lands, including affordable housing
14 and semiconductor fabrication.

15 3. Development that occurs over state trust lands that contains
16 minerals permanently locks away those minerals, preventing the minerals
17 from being extracted and permanently foreclosing their revenues from
18 accruing to the trust.

19 4. Mineral extraction is subject to reclamation plans that restore
20 the land to its previous condition before extraction occurred and this
21 makes the land usable for other commercial uses once mining is completed.

22 5. Pursuant to the Arizona Constitution and the Enabling Act, the
23 extraction of minerals must occur before any other commercial land use.

24 Enroll and engross to conform

25 Amend title to conform

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